MIT ZARAGOZA
International Logistics Program

MZ530 Financial Systems 2026/2027

Assignment #2

Prof. Spyros Lekkakos

Deadline: Oct 15th

Instructions:

- **Team** assignment (teams of 3-4 students). Each team should submit only one file (pdf format), names as "MZ530_Finance_HW2_Names"
- Preferred format: **slide-deck** with 4(min) to 8(max) slides content.
- PLEASE WRITE YOUR NAMES ON THE FIRST (COVER) SLIDE.

Objective

The goal of this assignment is to analyze and compare the **operations and competitive strategies** of two firms in the same sector and examine how those strategies are reflected in their **financial performance**.

You may **choose one of the following company pairs** (each pair operates in the same sector but follows different strategies):

1. **Nike vs. Adidas (Sportswear / Apparel)**
    - Both outsource production, but Nike emphasizes digital supply chain, analytics, and direct-to-consumer (DTC) channels, while Adidas relies more heavily on wholesale distribution and fashion collaborations.
2. **Amazon vs. Walmart (Retail / E-commerce)**
    - Amazon is an e-commerce native with a platform model, while Walmart is a brick-and-mortar giant leveraging scale efficiency and omnichannel strategies.
3. **IKEA vs. Williams-Sonoma (Furniture / Home)**
    - IKEA follows a cost-leadership strategy with global sourcing, flat-pack logistics, and scale-driven efficiency, while Williams-Sonoma pursues a premium, design-driven model with localized production and higher margins.
4. **McDonald's vs. Chipotle (Fast Food / Restaurants)**
    - McDonald's operates a highly standardized global supply chain and franchise model, while Chipotle emphasizes freshness, local sourcing, and vertical integration of key ingredients.

5. **Apple vs. Samsung (Consumer Electronics)**
    - Apple focuses on design, brand, and outsourced manufacturing, running lean with high margins, while Samsung is more vertically integrated, manufacturing many components in-house and competing across a broader product line.

Report Deliverable

Prepare a **professional-style presentation** (imagine presenting to senior executives). The presentation should:

- Highlight the **contrasting operational strategies** of the two firms.
- Demonstrate how those choices are reflected in **financial results** using evidence from ratios, trends, and financial statement data.
- Focus on **insights and narratives** (not just calculations). If findings are interesting, bring them forward and develop them; if they are less revealing, keep them in the background.
- Use exhibits (tables, figures, charts) as supporting material rather than the main body of the report.

Guidance for Analysis (back-office work)

While your deliverable is the report, the following analyses will help you structure your thinking:

1. Calculate and compare growth for both firms.
2. Compare key ratios: **Inventory Turns (IT), Net Operating Assets (NOA), Cash Conversion Cycle (CCC) and its constituents, Return on Equity (ROE), Return on Assets (ROA), Return on Net Assets (RONA), Gross Margin Return on Inventory (GMROI).**
3. Perform break-up analyses for ROE and ROA.
4. Consider the operational and financial implications of recent disruptions (COVID-19, supply chain shocks, geopolitics).

Final Note

Your presentation should read as a **coherent story** connecting operations strategy to financial outcomes (like introduction → market/operations strategy differences → financial evidence → insights → conclusion). Avoid a checklist format. Think like analysts preparing a piece for *HBR* or *SCM Review*.